

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

COMMITTEE SUBSTITUTE
FOR

HOUSE BILL NO. 3851

By: Marti

COMMITTEE SUBSTITUTE

An Act relating to alcoholic beverages; amending 37A O.S. 2021, Section 1-103, as last amended by Section 2, Chapter 190, O.S.L. 2025 (37A O.S. Supp. 2025, Section 1-103), which relates to definitions; providing additional definitions; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 37A O.S. 2021, Section 1-103, as last amended by Section 2, Chapter 190, O.S.L. 2025 (37A O.S. Supp. 2025, Section 1-103), is amended to read as follows:

Section 1-103. As used in the Oklahoma Alcoholic Beverage Control Act:

1. "ABLE Commission" or "Commission" means the Alcoholic Beverage Laws Enforcement Commission;

2. "Alcohol" means and includes hydrated oxide of ethyl, ethyl alcohol, ethanol or spirits of wine, from whatever source or by whatever process produced. It does not include wood alcohol or alcohol which has been denatured or produced as denatured in

1 accordance with Acts of Congress and regulations promulgated
2 thereunder;

3 3. "Alcoholic beverage" means alcohol, spirits, beer, and wine
4 as those terms are defined herein and also includes every liquid or
5 solid, patented or not, containing alcohol, spirits, wine, or beer
6 and capable of being consumed as a beverage by human beings;

7 4. "Applicant" means any individual, legal or commercial
8 business entity, or any individual involved in any legal or
9 commercial business entity allowed to hold any license issued in
10 accordance with the Oklahoma Alcoholic Beverage Control Act;

11 5. "Beer" means any beverage containing more than one-half of
12 one percent (0.50%) of alcohol by volume and obtained by the
13 alcoholic fermentation of an infusion or decoction of barley, or
14 other grain, sugar, malt or similar products. For the purposes of
15 taxation, distribution, sales, and regulation, seltzer shall mean
16 the same as beer as provided in this section. Beer may or may not
17 contain hops or other vegetable products. Beer includes, among
18 other things, beer, ale, stout, lager beer, porter, seltzer, and
19 other malt or brewed liquors, but does not include sake, known as
20 Japanese rice wine;

21 6. "Beer keg" means any brewer-sealed, single container that
22 contains not less than four (4) gallons of beer;

23 7. "Beer distributor" means and includes any person licensed to
24 distribute beer for retail sale in this state, but does not include

1 a holder of a small brewer self-distribution license or brewpub
2 self-distribution license. The term distributor, as used in the
3 Oklahoma Alcoholic Beverage Control Act, shall be construed to refer
4 to a beer distributor;

5 8. "Bottle club" means any establishment in a county which has
6 not authorized the retail sale of alcoholic beverages by the
7 individual drink, which is required to be licensed to keep, mix and
8 serve alcoholic beverages belonging to club members on club
9 premises;

10 9. "Bottle service" means the sale and provision of spirits in
11 their original packages by a mixed beverage licensee to be consumed
12 in that mixed beverage licensee's club suite;

13 10. "Brand" means any word, name, group of letters, symbol or
14 combination thereof, that is adopted and used by a licensed brewer
15 to identify a specific beer, wine or spirit and to distinguish that
16 product from another beer, wine or spirit;

17 11. "Brand extension" means:

18 a. after October 1, 2018, any brand of beer or cider
19 introduced by a manufacturer in this state which
20 either:

21 (1) incorporates all or a substantial part of the
22 unique features of a preexisting brand of the
23 same licensed brewer, or
24

(2) relies to a significant extent on the goodwill associated with the preexisting brand, or

b. any brand of beer that a brewer, the majority of whose total volume of all brands of beer distributed in this state by such brewer on January 1, 2016, was distributed as low-point beer, desires to sell, introduces, begins selling or theretofore has sold and desires to continue selling a strong beer in this state which either:

(1) incorporates or incorporated all or a substantial part of the unique features of a preexisting low-point beer brand of the same licensed brewer, or

(2) relies or relied to a significant extent on the goodwill associated with a preexisting low-point beer brand;

12. "Brewer" means and includes any person who manufactures for human consumption by the use of raw materials or other ingredients any beer or cider upon which a license fee and a tax are imposed by any law of this state;

13. "Brewpub" means a licensed establishment operated on the premises of, or on premises located contiguous to, a small brewer, that prepares and serves food and beverages, including alcoholic beverages, for on-premises consumption;

1 14. "Cider" means any alcoholic beverage obtained by the
2 alcoholic fermentation of fruit juice, including but not limited to
3 flavored, sparkling or carbonated cider. For the purposes of the
4 manufacture of this product, cider may be manufactured by either
5 manufacturers or brewers. For the purposes of the distribution of
6 this product, cider may be distributed by either wine and spirits
7 wholesalers or beer distributors;

8 15. "Club suite" means a designated area within the premises of
9 a mixed beverage licensee designed to provide an exclusive space
10 which is limited to a patron or patrons specifically granted access
11 by a mixed beverage licensee and is not accessible to other patrons
12 of the mixed beverage licensee or the public. A club suite must
13 have a clearly designated point of access for a patron or patrons
14 specifically granted access by the mixed beverage licensee to ensure
15 that persons present in the suite are limited to patrons
16 specifically granted access by the mixed beverage licensee and
17 employees providing services to the club suite;

18 16. "Cocktail" means a type of mixed beverage as defined in
19 Section 7-102 of this title;

20 17. "Controlled label" means a spirit, wine, beer, or other
21 beverage alcohol product that is manufactured for sale or sold under
22 an agreement between a supplier or its affiliates and a retailer or
23 its affiliates, directly or indirectly, under which the retailer
24 coordinates the manufacture, including, but not limited to, flavor

profile, formulation, production costs, volume or schedule, source of any ingredients, packaging or labeling of the product and its distribution at the retailer's outlet or outlets; provided, however, the retailer does not directly or indirectly own the name or trademark of the product. A product shall be deemed a control label if the retailer retains the authority to dictate terms of production, marketing, or sales in a manner that restricts availability to other market participants outside standard competitive practices;

18. "Convenience store" means any person primarily engaged in retailing a limited range of general household items and groceries, with extended hours of operation, whether or not engaged in retail sales of automotive fuels in combination with such sales;

~~18.~~ 19. "Convicted" and "conviction" mean and include a finding of guilt resulting from a plea of guilty or nolo contendere, the decision of a court or magistrate or the verdict of a jury, irrespective of the pronouncement of judgment or the suspension thereof;

~~19.~~ 20. "Designated products" means the brands of wine or spirits offered for sale by a manufacturer that the manufacturer has assigned to a designated wholesaler for exclusive distribution;

~~20.~~ 21. "Designated wholesaler" means a wine and spirits wholesaler who has been selected by a manufacturer as a wholesaler appointed to distribute designated products;

~~21.~~ 22. "Director" means the Director of the ABLE Commission;

~~22.~~ 23. "Distiller" means any person who produces spirits from

any source or substance, or any person who brews or makes mash, wort

or wash, fit for distillation or for the production of spirits

(except a person making or using such material in the authorized

production of wine or beer, or the production of vinegar by

fermentation), or any person who by any process separates alcoholic

spirits from any fermented substance, or any person who, making or

keeping mash, wort or wash, has also in his or her possession or use

a still;

~~23.~~ 24. "Distributor agreement" means the written agreement

between the distributor and brewer as set forth in Section 3-108 of

this title;

~~24.~~ 25. "Drug store" means a person primarily engaged in

retailing prescription and nonprescription drugs and medicines;

~~25.~~ 26. "Event venue" means any nongovernmental location,

property, space, premises, grounds, building or buildings, or other

site that offers to the general public for rent, lease, reservation,

or other contractual use, for the hosting of a function, occasion,

or event, special, private, or public, of a temporary nature. The

location, property, space, premises, grounds, or building or

buildings defined in this paragraph shall not include those owned,

leased, or occupied by organizations exempt from taxation pursuant

1 to the provisions of the Internal Revenue Code, 26 U.S.C., Section
2 501(c) (3);

3 ~~26.~~ 27. "Dual-strength beer" means a brand of beer that,
4 immediately prior to April 15, 2017, was being sold and distributed
5 in this state:

6 a. as a low-point beer pursuant to the Low-Point Beer
7 Distribution Act in effect immediately prior to
8 October 1, 2018, and

9 b. as strong beer pursuant to the Oklahoma Alcoholic
10 Beverage Control Act in effect immediately prior to
11 October 1, 2018,

12 and continues to be sold and distributed as such on October 1, 2018.
13 Dual-strength beer does not include a brand of beer that arose as a
14 result of a brand extension as defined in this section;

15 ~~27.~~ 28. "Fair market value" means the value in the subject
16 territory covered by the written agreement with the distributor or
17 wholesaler that would be determined in an arm's length transaction
18 entered into without duress or threat of termination of the
19 distributor's or wholesaler's rights and shall include all elements
20 of value, including goodwill and going-concern value;

21 ~~28.~~ 29. "Good cause" means:

22 a. failure by the distributor to comply with the material
23 and reasonable provisions of a written agreement or
24 understanding with the brewer, or

b. failure by the distributor to comply with the duty of good faith;

~~29.~~ 30. "Good faith" means the duty of each party to any distributor agreement and all officers, employees or agents thereof to act with honesty in fact and within reasonable standards of fair dealing in the trade;

~~30.~~ 31. "Grocery store" means a person primarily engaged in retailing a general line of food, such as canned or frozen foods, fresh fruits and vegetables, and fresh and prepared meats, fish and poultry;

~~31.~~ 32. "Hotel" or "motel" means an establishment which is licensed to sell alcoholic beverages by the individual drink and which contains guest room accommodations with respect to which the predominant relationship existing between the occupants thereof and the owner or operator of the establishment is that of innkeeper and guest. For purposes of this section, the existence of other legal relationships as between some occupants and the owner or operator thereof shall be immaterial;

~~32.~~ 33. "Legal newspaper" means a newspaper meeting the requisites of a newspaper for publication of legal notices as prescribed in Sections 101 through 114 of Title 25 of the Oklahoma Statutes;

~~33.~~ 34. "Licensee" means any person holding a license under the Oklahoma Alcoholic Beverage Control Act, and any agent, servant or

1 employee of such licensee while in the performance of any act or
2 duty in connection with the licensed business or on the licensed
3 premises;

4 ~~34.~~ 35. "Low-point beer" shall mean any beverages containing
5 more than one-half of one percent (1/2 of 1%) alcohol by volume, and
6 not more than three and two-tenths percent (3.2%) alcohol by weight,
7 including but not limited to beer or cereal malt beverages obtained
8 by the alcoholic fermentation of an infusion by barley or other
9 grain, malt or similar products;

10 ~~35.~~ 36. "Manufacturer" means a distiller, winemaker, rectifier
11 or bottler of any alcoholic beverage (other than beer) and its
12 subsidiaries, affiliates and parent companies;

13 ~~36.~~ 37. "Manufacturer's agent" means a salaried or commissioned
14 salesperson who is the agent authorized to act on behalf of the
15 manufacturer or nonresident seller in this state;

16 ~~37.~~ 38. "Meals" means foods commonly ordered at lunch or dinner
17 and at least part of which is cooked on the licensed premises and
18 requires the use of dining implements for consumption. Provided,
19 that the service of only food such as appetizers, sandwiches, salads
20 or desserts shall not be considered meals;

21 ~~38.~~ 39. "Mini-bar" means a closed container, either
22 refrigerated in whole or in part, or unrefrigerated, and access to
23 the interior of which is:

- 1 a. restricted by means of a locking device which requires
2 the use of a key, magnetic card or similar device, or
3 b. controlled at all times by the licensee;

4 ~~39.~~ 40. "Mixed beverage cooler" means any beverage, by whatever
5 name designated, consisting of an alcoholic beverage and fruit or
6 vegetable juice, fruit or vegetable flavorings, dairy products or
7 carbonated water containing more than one-half of one percent (1/2
8 of 1%) of alcohol measured by volume but not more than seven percent
9 (7%) alcohol by volume at sixty (60) degrees Fahrenheit and which is
10 packaged in a container not larger than three hundred seventy-five
11 (375) milliliters. Such term shall include but not be limited to
12 the beverage popularly known as a "wine cooler";

13 ~~40.~~ 41. "Mixed beverages" means one or more servings of a
14 beverage composed in whole or in part of an alcoholic beverage in a
15 sealed or unsealed container of any legal size for consumption on
16 the premises where served or sold by the holder of a mixed beverage,
17 beer and wine, caterer, public event, charitable event or special
18 event license; provided, that a beer, cider, or wine mixed with
19 ingredients nonalcoholic in nature including, but not limited to,
20 water, juice, sugar, fruits, or vegetables and sold by a small
21 brewer, brewpub, small farm winery, or winemaker, shall not be
22 considered a mixed beverage so long as such small brewer, brewpub,
23 small farm winery, or winemaker does not also hold an on-premises
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1 beer and wine, mixed beverage, caterer, public event, or special
2 event license, if permitted by law;

3 ~~41.~~ 42. "Motion picture theater" means an establishment which
4 is licensed by Section 2-110 of this title to sell alcoholic
5 beverages by the individual drink and where motion pictures are
6 exhibited, and to which the general public is admitted;

7 ~~42.~~ 43. "Nondesignated products" means the brands of wine or
8 spirits offered for sale by a manufacturer that have not been
9 assigned to a designated wholesaler;

10 ~~43.~~ 44. "Nonresident seller" means any person licensed pursuant
11 to Section 2-135 of this title;

12 ~~44.~~ 45. "Retail salesperson" means a salesperson soliciting
13 orders from and calling upon retail alcoholic beverage stores with
14 regard to his or her product;

15 ~~45.~~ 46. "Occupation" as used in connection with "occupation
16 tax" means the sites occupied as the places of business of the
17 manufacturers, brewers, wholesalers, beer distributors, retailers,
18 mixed beverage licensees, on-premises beer and wine licensees,
19 bottle clubs, caterers, public event and special event licensees;

20 ~~46.~~ 47. "Original package" means any container of alcoholic
21 beverage filled and stamped or sealed by the manufacturer or brewer;

22 ~~47.~~ 48. "Package store" means any sole proprietor or
23 partnership that qualifies to sell wine, beer and/or spirits for
24 off-premises consumption and that is not a grocery store,

1 convenience store or drug store, or other retail outlet that is not
2 permitted to sell wine or beer for off-premises consumption;

3 ~~48.~~ 49. "Patron" means any person, customer or visitor who is
4 not employed by a licensee or who is not a licensee;

5 ~~49.~~ 50. "Person" means an individual, any type of partnership,
6 corporation, association, limited liability company or any
7 individual involved in the legal structure of any such business
8 entity;

9 ~~50.~~ 51. "Premises" means the grounds and all buildings and
10 appurtenances pertaining to the grounds including any adjacent
11 premises if under the direct or indirect control of the licensee and
12 the rooms and equipment under the control of the licensee and used
13 in connection with or in furtherance of the business covered by a
14 license. Provided, that the ABLE Commission shall have the
15 authority to designate areas to be excluded from the licensed
16 premises solely for the purpose of:

- 17 a. allowing the presence and consumption of alcoholic
18 beverages by private parties which are closed to the
19 general public, or
- 20 b. allowing the services of a caterer serving alcoholic
21 beverages provided by a private party.

22 This exception shall in no way limit the licensee's concurrent
23 responsibility for any violations of the Oklahoma Alcoholic Beverage
24 Control Act occurring on the licensed premises;

1 ~~51.~~ 52. "Private event" means a social gathering or event
2 attended by invited guests who share a common cause, membership,
3 business or task and have a prior established relationship. For
4 purposes of this definition, advertisement for general public
5 attendance or sales of tickets to the general public shall not
6 constitute a private event;

7 53. "Private label" means a distilled spirit, wine, or beer
8 product that is manufactured for sale or sold under an agreement
9 between a supplier or its affiliates and a retailer or its
10 affiliates directly or indirectly that bears a name or trademark
11 directly or indirectly owned by a retailer. A product shall be
12 deemed a private label if the retailer retains the authority to
13 dictate terms of production, marketing, or sales in a manner that
14 restricts availability to other market participants outside standard
15 competitive practices;

16 ~~52.~~ 54. "Public event" means any event that can be attended by
17 the general public;

18 ~~53.~~ 55. "Rectifier" means any person who rectifies, purifies or
19 refines spirits or wines by any process (other than by original and
20 continuous distillation, or original and continuous processing, from
21 mash, wort, wash or other substance, through continuous closed
22 vessels and pipes, until the production thereof is complete), and
23 any person who, without rectifying, purifying or refining spirits,
24 shall by mixing (except for immediate consumption on the premises

1 where mixed) such spirits, wine or other liquor with any material,
2 manufactures any spurious, imitation or compound liquors for sale,
3 under the name of whiskey, brandy, rum, gin, wine, spirits, cordials
4 or any other name;

5 ~~54.~~ 56. "Regulation" or "rule" means a formal rule of general
6 application promulgated by the ABLE Commission as herein required;

7 ~~55.~~ 57. "Restaurant" means an establishment that is licensed to
8 sell alcoholic beverages by the individual drink for on-premises
9 consumption and where food is prepared and sold for immediate
10 consumption on the premises;

11 ~~56.~~ 58. "Retail container for spirits and wines" means an
12 original package of any capacity approved by the United States
13 Bureau of Alcohol, Tobacco, Firearms and Explosives;

14 ~~57.~~ 59. "Retailer" means a package store, grocery store,
15 convenience store or drug store licensed to sell alcoholic beverages
16 for off-premises consumption pursuant to a retail spirits license,
17 retail wine license or retail beer license;

18 ~~58.~~ 60. "Sale" means any transfer, exchange or barter in any
19 manner or by any means whatsoever, and includes and means all sales
20 made by any person, whether as principal, proprietor or as an agent,
21 servant or employee. The term sale is also declared to be and
22 include the use or consumption in this state of any alcoholic
23 beverage obtained within or imported from without this state, upon
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1 which the excise tax levied by the Oklahoma Alcoholic Beverage
2 Control Act has not been paid or exempted;

3 ~~59.~~ 61. "Seltzer" means any beverage containing more than one-
4 half of one percent (0.50%) of alcohol by volume and obtained by the
5 alcoholic fermentation of malt, rice, grain of any kind, bran,
6 glucose, sugar, or molasses and combined with carbonated water and
7 other flavoring and labeled as "beer" by the Internal Revenue Code;
8 provided, that seltzer shall not include carbonated beverages mixed
9 with wine or spirits;

10 ~~60.~~ 62. "Short-order food" means food other than full meals
11 including but not limited to sandwiches, soups and salads.
12 Provided, that popcorn, chips and other similar snack food shall not
13 be considered short-order food;

14 ~~61.~~ 63. "Small brewer" means a brewer who manufactures less
15 than sixty-five thousand (65,000) barrels of beer annually pursuant
16 to a validly issued small brewer license hereunder;

17 ~~62.~~ 64. "Small farm wine" means a wine that is produced by a
18 small farm winery with seventy-five percent (75%) or more Oklahoma-
19 grown grapes, berries, other fruits, honey or vegetables;

20 ~~63.~~ 65. "Small farm winery" means a wine-making establishment
21 that does not annually produce for sale more than fifteen thousand
22 (15,000) gallons of wine as reported on the United States Department
23 of the Treasury Alcohol and Tobacco Tax and Trade Bureau, Report of
24 Wine Premises Operations (TTB Form 5120.17);

1 ~~64.~~ 66. "Sparkling wine" means champagne or any artificially
2 carbonated wine;

3 ~~65.~~ 67. "Special event" means an entertainment, recreation or
4 marketing event that occurs at a single location on an irregular
5 basis and at which alcoholic beverages are sold;

6 ~~66.~~ 68. "Spirits" means any beverage other than wine or beer,
7 which contains more than one-half of one percent (1/2 of 1%) alcohol
8 measured by volume, and obtained by distillation, whether or not
9 mixed with other substances in solution and includes those products
10 known as whiskey, brandy, rum, gin, vodka, liqueurs, cordials and
11 fortified wines and similar compounds, but shall not include any
12 alcohol liquid completely denatured in accordance with the Acts of
13 Congress and regulations pursuant thereto;

14 ~~67.~~ 69. "Strong beer" means beer which, prior to October 1,
15 2018, was distributed pursuant to the Oklahoma Alcoholic Beverage
16 Control Act, Section 1-101 et seq. of this title;

17 ~~68.~~ 70. "Successor brewer" means a primary source of supply, a
18 brewer, a cider manufacturer or an importer that acquires rights to
19 a beer or cider brand from a predecessor brewer;

20 ~~69.~~ 71. "Tax Commission" means the Oklahoma Tax Commission;

21 ~~70.~~ 72. "Territory" means a geographic region with a specified
22 boundary;

23 ~~71.~~ 73. "Wine and spirits wholesaler" or "wine and spirits
24 distributor" means and includes any sole proprietorship or

1 partnership licensed to distribute wine and spirits in this state.
2 The term "wholesaler", as used in the Oklahoma Alcoholic Beverage
3 Control Act, shall be construed to refer to a wine and spirits
4 wholesaler;

5 ~~72.~~ 74. "Wine" means and includes any beverage containing more
6 than one-half of one percent (1/2 of 1%) alcohol by volume and not
7 more than twenty-four percent (24%) alcohol by volume at sixty (60)
8 degrees Fahrenheit obtained by the fermentation of the natural
9 contents of fruits, vegetables, honey, milk or other products
10 containing sugar, whether or not other ingredients are added, and
11 includes vermouth and sake, known as Japanese rice wine;

12 ~~73.~~ 75. "Winemaker" means and includes any person or
13 establishment who manufactures for human consumption any wine upon
14 which a license fee and a tax are imposed by any law of this state;

15 ~~74.~~ 76. "Satellite tasting room" means a licensed establishment
16 operated off the licensed premises of the holder of a small farm
17 winery or winemaker license, which serves wine for on-premises or
18 off-premises consumption; and

19 ~~75.~~ 77. "Straw testing" means the consumption of a de minimis
20 amount of an alcoholic beverage by sanitary means by the holder of
21 an employee license, twenty-one (21) years of age or older, to
22 determine the quality or desired flavor profile of such alcoholic
23 beverage that has been serviced, or is to be served, to a patron.

1 Words in the plural include the singular, and vice versa, and
2 words imparting the masculine gender include the feminine, as well
3 as persons and licensees as defined in this section.

4 SECTION 2. This act shall become effective November 1, 2026.

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